

Subject: **Methane Emissions Regulation - Urgent Need for Regulatory Clarity to Safeguard EU Supply Security**

To: Teresa Ribera, Executive Vice President
Stéphane Séjourné, Executive Vice President
Dan Jørgensen, Commissioner Energy and Housing
Maroš Šefčovič, Commissioner Trade and Economic Security; Interinstitutional Relations and Transparency
Jozef Síkela, Commissioner International Partnerships
Current and upcoming presidencies of the Council of the EU: Poland and Denmark

Cc: Ditte Juul-Joergensen, Director-General DG ENER
Cristina Lobillo Borrero, Director DG ENER Energy Platform Task Force
Lukasz Kolinski, Director, DG ENER C

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Dear Executive Vice Presidents, Dear Commissioners, Dear Representatives of the Presidencies of the Council of the EU,

The European Union's Methane Emission Regulation represents an important step in aligning climate ambitions with global energy trade. As Europe's leading gas importers to the EU, we support in principle the EU's willingness to enhance transparency with regards to imports of fossil energy and contribute towards the wider uptake of methane emission mitigation solutions across the globe. However, achieving this goal requires a framework that is both effective and practical to ensure it strikes the right balance between environmental effectiveness, competitiveness, and workable reporting obligations.

The Regulation's timeline, uncertainties and extraterritorial implications create significant challenges for the flexibility and security of the EU's gas supply, particularly as the EU seeks to ensure affordability and contract additional natural gas supplies to replace Russian gas imports.

Already today, the Methane Emissions Regulation is complicating and, in some cases, impeding, the signing of new gas supply contracts. Market participants face considerable uncertainty regarding compliance with yet-to-be-defined requirements¹, unmanageable liability risks, and potential penalties of up to 20% of an importer's annual turnover. This regulatory uncertainty makes it difficult for parties to assess risks, thereby posing significant challenges to them for moving forward with agreements. This, in turn, is creating unintended consequences for Europe's energy security and affordability, exacerbating an already tight market.

To mitigate these risks, **we strongly recommend** conducting a thorough impact assessment of the importer requirements, focusing on key criteria such as workability, environmental effectiveness, and competitiveness.

¹ A concrete example can be found in the first reporting obligations due at the beginning of May 2025, which require companies to report to national Competent Authorities. These have yet to be officially set up despite the obligation of the Art. 4 of the Regulation, and details about the reporting process to follow are yet to be fully known. Coordination between national Competent Authorities is also key to ensure proper Regulation implementation, for example to ensure that any given volumes does not have to be reported multiple times in different Member States. Additional lack of clarity persists, for example regarding how and where non-EU entities importers should report.

We believe that targeted adjustments to the Regulation are needed: for instance, **the entry into force of the importer requirements notably the MRV equivalence and the methane intensity reporting obligations**, should in principle at least be linked to the publication of the necessary implementing legislation and guidelines². This is necessary to **ensure that compliance is feasible from the outset and avoid impacting the market**. At a minimum, **a grace period for the application of penalties must be urgently introduced** until the relevant implementing rules are fully in place and operational. In such case, it should also be made sure that the contracts signed during the grace period are protected from the risk of penalties. During this period, EU importers will still make every reasonable effort to comply with the requirements of the Regulation, as public and shareholder scrutiny serves as a strong driver of compliance. In parallel, the European Commission should pursue its outreach with the industry and our third country partners, notably on the recognition of third country equivalence on MRV requirements.

We appreciate the EU's commitment to reducing methane emissions and stand ready to support constructive dialogue to ensure that the Regulation achieves its objectives **without compromising Europe's energy security**.

Sincerely,



² Which includes notably, as part as the legal obligations from the Regulation: Rules for determining country-level equivalence (Art. 28.6); Designation of all national competent authorities (Art. 4); Model contract clauses (Art. 28.3); Methane intensity reporting methodology (Art. 29.4)